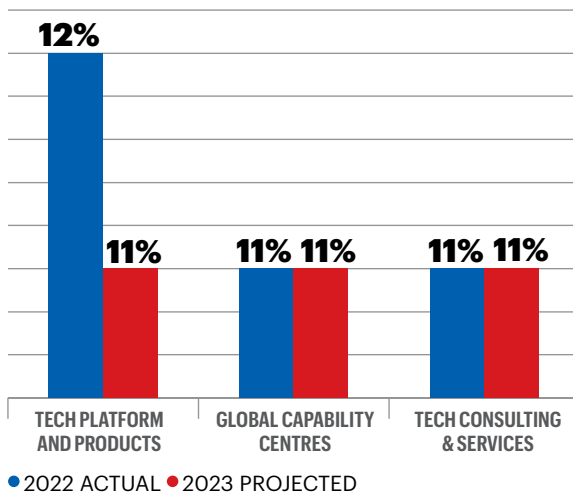


SALARY AND ATTRITION

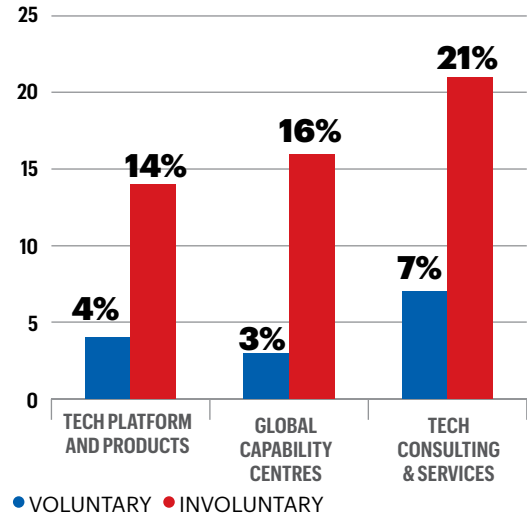
• Salary increases for GCCs continue to be in double digits at a time when IT services companies are cutting back on hiring

(Salary increase trends)



• Attrition rates for GCCs are higher than the product sector, but not as high as the services sector which calls for a differentiated retention strategy for GCCs

(Attrition trends)



SOURCE AON'S OVERALL GCC SECTOR OVERVIEW 2023-2024

extent. As Lalit Ahuja, Founder & CEO of ANSR puts it: "Business is moving from one side of the coin to the other." The firm offers end-to-end services for GCCs such as sub-leasing office spaces, getting fit-outs done and payrolling employees for a fee. "There is some impact of GCCs on the IT industry as a whole, but the quantification is difficult," says EY's Sen. He suggests that parent companies strategically decide on outsourcing less critical tasks while retaining the more transformational aspects in-house for better quality and intellectual property protection.

Going a step further, maturing centres are eyeing revenue streams within India. Thus far, most have operated as cost centres, funded by parent organisations for specific in-house purposes. GCCs operate on a transfer pricing model, where they mark up the costs of their tasks back to the parent and pay taxes to the Indian government on the margin. However, they are now exploring profit models by encouraging businesses to entrust their IT outsourcing needs to them rather than conventional IT services companies. The rationale is that they understand the sector better and offer competitive pricing. For instance, Saks is

considering a subsidiary tech service for similar-sized retailers.

Similarly, Rakuten has launched its AI-based predictive software Sixth Sense for businesses in India and plans to roll out more. ANSR's Ahuja, however, sees them as outliers with a relatively small revenue generation. Many are actually wary of the commercialisation of their secret sauce, he adds. "The cost of losing out a few million dollars in potential revenue is much lower than owning an IP that sets you apart."

According to EY's Sen, there are significant challenges in monetising these products and services. "Setting up scalable operations for open market sales involves considerable investments in technology, regulatory compliance, infrastructure, marketing, and distribution. Today, more and more GCCs today are thinking about it, he adds.

But whether GCCs expand their offerings and impact IT services or not, the sector itself is set to grow and generate higher-quality jobs in India. Now, that is captivating. **BT**

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